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Chroma Ate Inc. | Asia Pacific

September Sales +22% MoM/
+206% YoY

In this report, we focus on Chroma's monthly sales, which we believe could be a catalyst for share price movement.

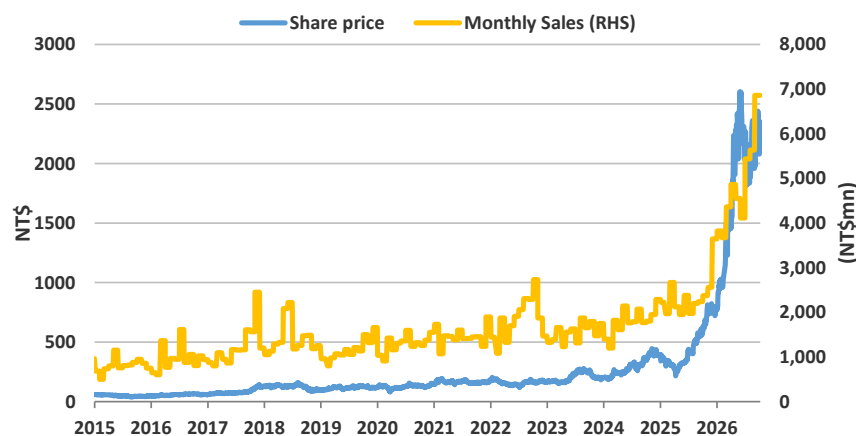
Details:

- September revenue was NT\$6,860mn (22% MoM/+206% YoY), a record high.
- 3Q26 revenue came in at NT\$17,926mn (+32% QoQ/+180% YoY), significantly higher than our estimate at NT\$14,772mn (+9% QoQ/+130% YoY) and consensus at NT\$14,555mn (+8% QoQ/+127% YoY).

Our view:

- We believe that the strength in 3Q26 was mainly driven by the semiconductor and photonics business, especially SLT, metrology, transceiver/CPO testing, etc.
- We think that Chroma might start to ship FT handlers and ovens in small volume from late 2026/early 2027, which represent new business opportunities for the coming years.
- Stay OW.

Exhibit 1: Chroma's monthly sales vs. its share price since 2015



Source: Company data, TEJ, Morgan Stanley Research. Note: Past performance is no guarantee of future results. Results shown do not include transaction costs.

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Chroma Ate Inc. (2360.TW, 2360 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$2,800.00
Up/downside to price target (%)	19
Shr price, close (Oct 6, 2026)	NT\$2,350.00
52-Week Range	NT\$2,795.00-599.00
Sh out, dil, curr (mn)	425
Mkt cap, curr (mn)	US\$31,512
EV, curr (mn)	US\$31,169
Avg daily trading value (mn)	US\$182

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	27.49	43.97	62.77	74.77
EPS (NT\$)§	26.88	44.69	66.84	86.80
Prior EPS (NT\$)**	-	-	-	-
Revenue, net (NT\$ mn)	28,311	55,154	76,117	89,224
EBITDA (NT\$ mn)	10,038	22,684	32,742	38,930
ModelWare net inc (NT \$ mn)	11,692	18,697	26,691	31,797
P/E	28.2	53.4	37.4	31.4
P/BV	10.1	22.4	16.9	13.7
RNOA (%)	49.4	80.3	95.7	98.3
ROE (%)	45.9	57.4	59.9	53.9
EV/EBITDA	31.8	43.3	29.7	24.7
Div yld (%)	1.2	0.8	1.3	1.9
FCF yld ratio (%)**	2.4	1.5	2.3	3.0
Leverage (EOP) (%)	(33.4)	(39.0)	(46.3)	(52.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Chroma Ate Inc. 2360.TW			
September 2026 sales	06 Oct 2026	Unchanged	↑ Modest upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Chroma Ate Inc. (2360.TW)

Base case, 45x 2027e P/E. We use P/E as our valuation methodology because we think it better captures Chroma's earnings growth momentum. The stock traded at an average valuation of ~19x P/E during 2014-25 with an operating profit CAGR of 20%, implying a PEG of 1.0. We think our target multiple of 45x is justified by the 61% operating profit CAGR we project for 2025-28.

Risks to Upside

- Better-than-expected macro conditions
- Stronger semi and photonics and power testing demand
- Margin improvement via better product mix
- Better opex control

Risks to Downside

- Macro slowdown
- Softer-than-expected AI capex
- Slower progress in the advanced packaging capacity expansion
- Weaker consumer electronics and automobile related demand
- Margin contraction arising from lack of revenue scale and increasing opex

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(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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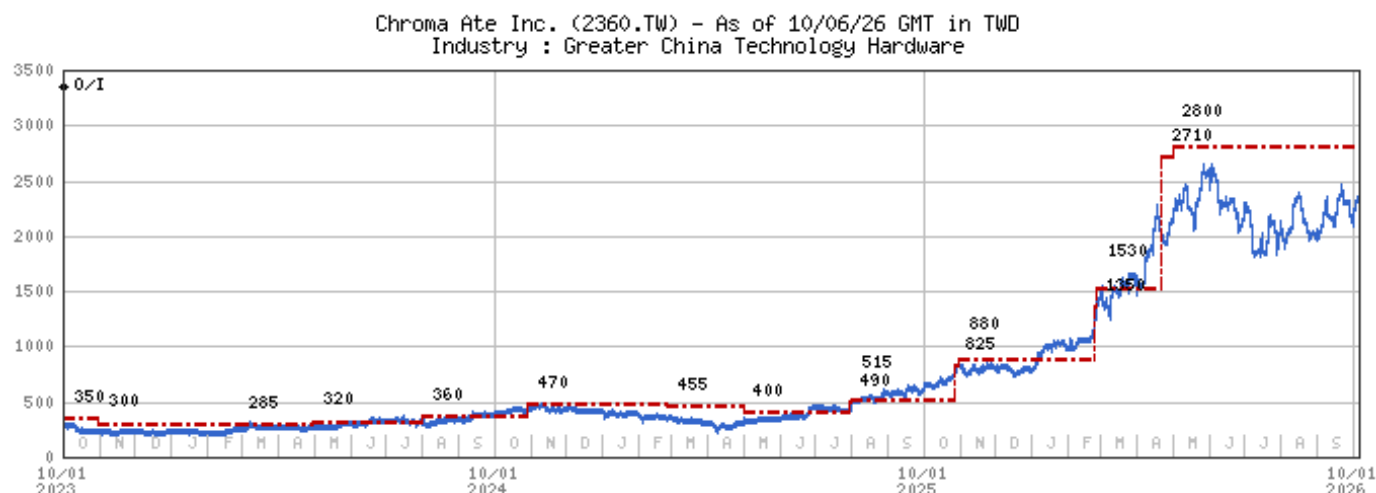
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.36
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb164.88
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.90
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.35
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.32
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb389.00
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$1,045.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb22.79
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.17
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.46
Largan Precision (3008.TW)	E (09/10/2026)	NT\$6,855.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.97
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.88
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$5.43
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$52.30
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb49.43
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.49
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.00
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb71.35
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$38.14
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb53.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$64.10
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb260.77
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.43

Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$24.26
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb411.16
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$180.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb106.92
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.40
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb808.44
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,079.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$21.80
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb30.58
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,050.00
Advantech (2395.TW)	O (01/20/2021)	NT\$738.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,195.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,685.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$37.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,530.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,325.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.72
Chenbro (8210.TW)	O (07/23/2025)	NT\$885.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,350.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,050.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$149.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,415.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$339.50
Innolux (3481.TW)	E (04/07/2025)	NT\$51.10
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,100.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb32.31
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$299.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.79
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.31
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb184.03
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.05
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$1,000.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$206.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$35.90
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$5,995.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.02
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb58.20
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$380.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,260.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$256.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb65.93
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$55.10
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,920.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$35.40
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,865.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,505.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$333.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb129.96
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb373.01
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,310.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$567.00

Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$189.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,290.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$625.00
Zhen Ding (4958.TW)	++	NT\$574.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$551.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,755.00

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* Historical prices are not split adjusted.